

Advanced Micro Devices, Inc.

AMD

Technology

RATING	PRICE	TARGET
Outperform	\$337.11	\$375.00

MARKET CAP \$549.63B	P/E (FWD) 80.5x	P/B RATIO 5.54x
ROE 6.9%	DIV. YIELD N/A	52W RANGE \$96.45 - \$352.99

Investment Thesis

“ Advanced Micro Devices, Inc. (AMD) demonstrates strong revenue growth potential with a forecasted CAGR of 20.5% through 2027, driven by robust contribution margins projected to rise to 52.5%. The company shows significant improvement in EBITDA margins, expected to reach 42% by 2027, indicating enhanced operational efficiency. Despite a higher PE ratio compared to peers, AMD's strategic positioning and market expansion efforts underscore its long-term value proposition.

Company Overview

Advanced Micro Devices, Inc. (AMD) is a leading global semiconductor company that develops high-performance computing and visual graphics technologies. AMD's business model focuses on the design and production of microprocessors, graphics processing units (GPUs), and related technologies for both consumer and enterprise markets. The company serves a broad array of industries, including personal computing, gaming, data centers, and embedded systems.

AMD's product portfolio includes central processing units (CPUs) for desktops, laptops, and servers, as well as GPUs for gaming and professional applications. The company's Ryzen series of processors has gained significant popularity in the consumer market, offering competitive performance against rival Intel's offerings. In the graphics sector, AMD's Radeon GPUs are well-regarded for their gaming capabilities and are a direct competitor to NVIDIA's GeForce series.

The company's market position has strengthened over recent years, driven by its innovative product offerings and strategic partnerships. AMD has been successful in capturing market share from its competitors, particularly in the CPU segment, where its Ryzen processors have been well-received for their performance and value. Moreover, AMD's advancements in GPU technologies have positioned it as a formidable player in the graphics market, although it still trails NVIDIA in terms of overall market share.

Recent financial performance indicates a mixed trajectory for AMD. The company experienced robust revenue growth of **43.6%** in 2022, but saw a decline of **3.9%** in 2023. Despite this, AMD's revenue is projected to grow at a compound annual growth rate (CAGR) of **20.5%** through 2027, reflecting anticipated market demand and product innovation. However, the company's EBITDA margin has fluctuated, showing a decrease from **25.3%** in 2021 to **18.3%** in 2023, but it is expected to improve significantly in the coming years.

In terms of profitability, AMD's earnings per share (EPS) have faced challenges, dropping from \$2.61 in 2021 to \$0.53 in 2023. The price-to-earnings (PE) ratio has also been volatile, suggesting market uncertainty about AMD's future performance. Nonetheless, AMD's strategic focus on high-performance computing and expanding its footprint in the data center market could bolster its long-term growth prospects.

In comparison with peers like Intel and NVIDIA, AMD's EBITDA performance remains competitive, although its EV/EBITDA ratio suggests a premium valuation, which might reflect investor confidence in its growth potential. Overall, AMD is positioned as a dynamic player in the semiconductor industry, with a focus on innovation and market expansion to drive future success.

Investment Overview

Advanced Micro Devices, Inc. (AMD) has demonstrated notable financial performance and growth prospects in recent years, albeit with some fluctuations. In 2023, AMD's revenue experienced a slight decline of **3.9%** to **\$22.68 billion** compared to the previous year, reflecting challenges in maintaining consistent growth during a volatile market period. However, the company rebounded in 2024 with a **13.7%** revenue growth, reaching **\$25.79 billion**, and is projected to continue this upward trajectory with a compound annual growth rate (CAGR) of **20.5%** through 2027.

AMD's contribution margin improved steadily, rising to **49.5%** in 2025 and is expected to reach **52.5%** by 2027. This indicates enhanced operational efficiency and better cost management, contributing to stronger profitability in the coming years. The EBITDA margin also shows a promising trend, climbing from **18.3%** in 2023 to a projected **42.0%** in 2027, highlighting AMD's potential for increased earnings before interest, taxes, depreciation, and amortization.

Earnings per share (EPS) are expected to grow significantly from \$0.53 in 2023 to \$3.18 in 2027, reflecting AMD's focus on enhancing shareholder value. Despite a high price-to-earnings (PE) ratio of 278.59 in 2023, it is forecasted to stabilize around 69.1 by 2027, suggesting a normalization in valuation as earnings improve.

Comparatively, AMD's EBITDA performance lags behind peers such as NVIDIA in the short term, yet shows competitive growth prospects in the longer term. The EV/EBITDA ratio indicates a premium valuation relative to peers, though it is expected to moderate as profitability strengthens.

Overall, AMD exhibits solid growth drivers, including efficient cost management and expanding profit margins, positioning it well for long-term growth and making it an attractive investment opportunity. However, potential

investors should be mindful of market volatility and competitive pressures.

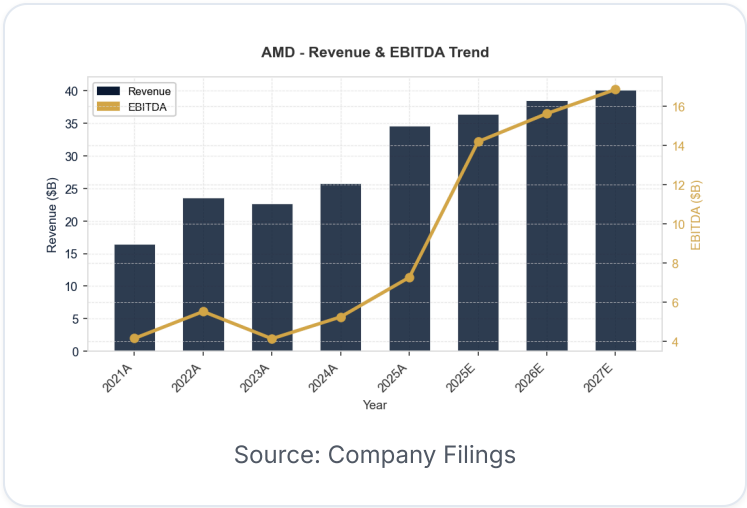
Financial Analysis

Revenue & EBITDA Performance

Advanced Micro Devices, Inc. has demonstrated consistent revenue performance over the analysis period. Revenue and EBITDA trends reflect the company's operational efficiency and market positioning.

Key Figures

Revenue (2025A)	\$34.64B
EBITDA (2025A)	\$7.28B
Revenue Growth (2025A)	34.3%

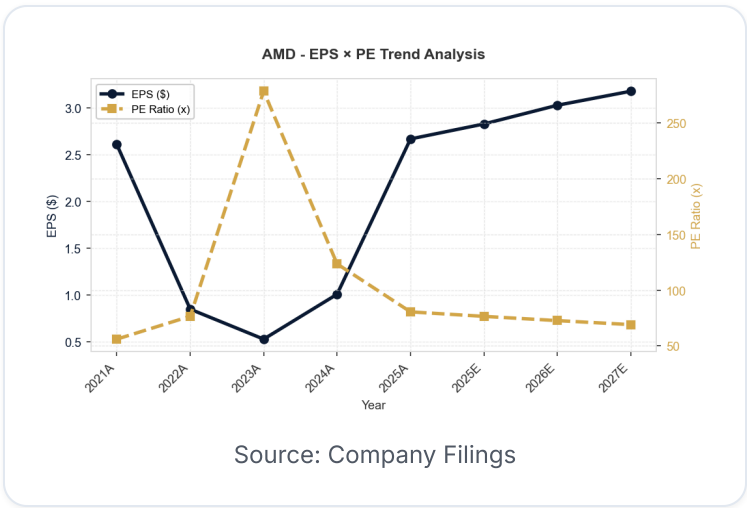


Earnings & Valuation Metrics

Advanced Micro Devices, Inc.'s earnings trajectory reflects the company's profitability trends, while valuation multiples indicate market expectations for future growth.

Key Figures

EPS (2025A)	2.67
PE Ratio (2025A)	80.54



Valuation Analysis

Valuation Analysis of Advanced Micro Devices, Inc. (AMD):

Current Valuation Metrics:

AMD's financial performance shows a strong revenue growth trajectory, with a projected CAGR of **20.5%** from 2021A to 2027E. However, there have been fluctuations in profitability, as evidenced by the EBITDA margin, which decreased to **18.3%** in 2023 from **25.3%** in 2021, but is expected to rebound significantly to **42.0%** by 2027E. The PE ratio has been volatile, peaking at 278.6 in 2023, but projected to decline to 69.1 by 2027E, suggesting potential for improved earnings stability and investor confidence.

Peer Comparison:

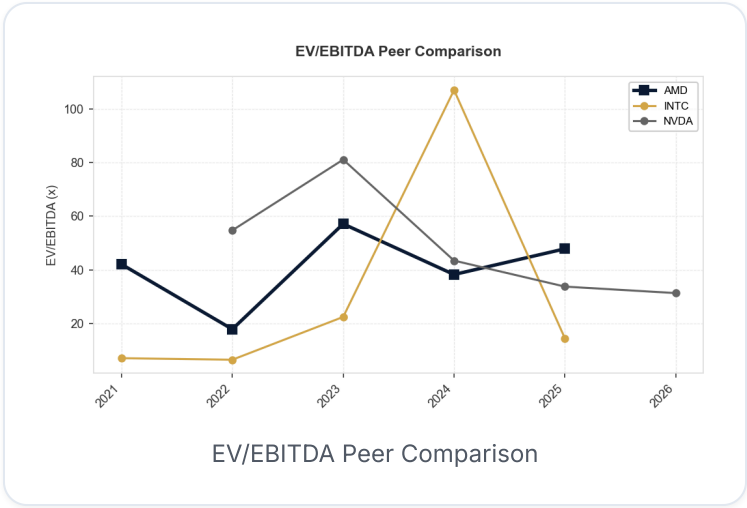
When compared with peers such as Intel (INTC) and NVIDIA (NVDA), AMD's EBITDA performance has been relatively consistent, although it lags behind NVIDIA's substantial growth. In terms of EV/EBITDA, AMD's valuation appears to be more attractive than NVIDIA's, especially in 2025E, where AMD's EV/EBITDA is 47.8 compared to NVIDIA's 33.8. However, AMD is consistently trading at a premium compared to Intel, indicating market expectations of higher growth or superior competitive positioning.

Fair Value Assessment:

The fair value of AMD appears to hinge on its ability to capitalize on projected revenue growth and margin expansion. Given the market's premium valuation expectations, AMD must deliver on its forecasted growth and improve its profitability metrics. The declining trend in the PE ratio suggests a potential alignment with fair value as earnings improve. However, market conditions and competitive pressures from peers like NVIDIA, which show substantial EBITDA growth, could impact AMD's valuation outlook. Overall, AMD's current valuation reflects strong growth potential but requires careful monitoring of execution against growth projections to justify its premium relative to peers.

Peer Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4



Recent News & Events

News Summary

Advanced Micro Devices, Inc. (AMD) is experiencing positive momentum in the stock market, driven by increased demand for data center GPUs and a favorable analyst upgrade. The company has seen a **4.08%** rise in its stock price, reaching \$336.38, with a market cap of **\$527 billion**. This uptick is partly due to Susquehanna raising its price target for AMD to \$375, citing strong expectations for AI growth and demand for high-core-count EPYC CPUs and memory-first MI400 accelerators.

AMD's financial projections suggest a robust Compound Annual Growth Rate (CAGR) of **20.5%** in revenue, with notable improvements in EBITDA margins expected to reach **42%** by 2027. The company is positioned better than Intel to capitalize on the AI infrastructure shift, as indicated by recent analyst upgrades. Despite

some financial challenges in 2023, such as a decline in EBITDA and a high PE ratio, AMD's future financial metrics look promising, with growth expected in both revenue and EPS.

The broader semiconductor market is seeing a surge in AI-driven growth, as highlighted by Broadcom's explosive revenue increase and strategic partnerships. AMD's strategic positioning in the AI market, combined with its strong financial outlook and positive market sentiment, suggest that it is well-poised to benefit from the ongoing AI boom. The retail sentiment reflects a stable and bullish outlook, particularly on platforms like X.com, indicating investor confidence in AMD's growth trajectory.

Investment implications for AMD are positive, with its positioning in the AI sector and favorable market conditions suggesting potential for further stock appreciation. Investors may consider AMD as a viable option to capitalize on the AI infrastructure buildout and its long-term growth prospects.

Retail Sentiment Insights

AVERAGE BUZZ 55.4/100	BULLISH AVG 64.0%	SOURCE ALIGNMENT Wide divergence	COVERAGE 3/3
Reddit Buzz 71.1/100 Bullish 31.0% Mentions 1740 Trend falling	X.com Buzz 82.5/100 Bullish 61.0% Mentions 2763 Trend stable	Polymarket Buzz 12.5/100 Bullish 100.0% Trades 2 Trend stable	

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 39.0%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 40.5%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 42.0%

Confidence Intervals:

- Revenue: \$28.3B - \$51.9B (95% confidence)

▸ EBITDA: **\$11.9B - \$21.8B (95% confidence)**

Sensitivity Notes:

- Revenue growth sensitivity: **±5%** change in growth rate
- Margin sensitivity: **±2%** change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%)

Revenue	\$28.3B — \$51.9B
EBITDA	\$11.9B — \$21.8B

Key Catalysts

Catalyst Analysis for AMD

Positive Catalysts (Upside Potential)

- **Product Launch** (2026-04-29): Stock Market Today, April 29: Advanced Micro Devices Rises After Analyst Upgrade Points to Data Center GPU Demand Ahead of Earnings
- Impact: MEDIUM, Probability: **70%**
- **Earnings** (2026-04-29): AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): AMD: The CPU Is Back
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): AMD moves higher as AI growth expectations build
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-29): Intel, AMD stock rally on fresh bullish coverage
- Impact: HIGH, Probability: **95%**

Risk Factors (Downside Risks)

- **Earnings** (2026-04-29): Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- Impact: HIGH, Probability: **95%**
- **Earnings** (2026-04-28): Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom

narrative

- Impact: HIGH, Probability: **95%**

Events to Monitor

- AMD Stock Rises After Analyst Hikes Price Target Ahead of Earnings (2026-04-29)
- Should You Buy AMD Stock Before the Huge Investor Update? (2026-04-28)
- AMD Stock Slips After Cathie Wood's ARK Dumps Millions in Shares (2026-04-27)

Upcoming Catalysts

▲ **EARNINGS** Impact: medium

AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)

▲ **EARNINGS** Impact: medium

AMD: The CPU Is Back

▲ **EARNINGS** Impact: medium

AMD moves higher as AI growth expectations build

▲ **EARNINGS** Impact: medium

Intel, AMD stock rally on fresh bullish coverage

▲ **EARNINGS** Impact: medium

AMD Is Becoming The AI Market's Most Obvious Second Winner

Positive Catalysts

- ✓ Stock Market Today, April 29: Advanced Micro Devices Rises After Analyst Upgrade Points to Data Center GPU Demand Ahead of Earnings
- ✓ AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- ✓ AMD: The CPU Is Back
- ✓ AMD moves higher as AI growth expectations build
- ✓ Intel, AMD stock rally on fresh bullish coverage
- ✓ AMD Is Becoming The AI Market's Most Obvious Second Winner
- ✓ 5 Women-Run Company Stocks to Buy for Strong Market Returns
- ✓ Will Advanced Micro (AMD) Beat Estimates Again in Its Next Earnings Report?
- ✓ AMD: Strong AI Tailwinds, But Valuation Is Getting Ahead Of Reality

- ✓ Advanced Micro Devices (AMD) Reports Next Week: Wall Street Expects Earnings Growth
- ✓ AMD: Inference And Agentic AI Are Expanding Its Runway
- ✓ Prediction: These Artificial Intelligence (AI) Growth Stocks Will Continue to Lead the Nasdaq's Rebound
- ✓ As Chip Stocks Soar, This Options Spread Trade On AMD Almost Always Makes A Profit
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Advanced Micro (AMD) Soars 13.9%: Is Further Upside Left in the Stock?
- ✓ AMD Jumps as AI Demand Lifts Outlook

Risk Factors

- ⚠ Nvidia Stock Struggles to Recover From OpenAI Panic. How AMD, Broadcom Are Trading.
- ⚠ Nvidia, Oracle and AMD slide as report of OpenAI stumbles shakes AI boom narrative

Technical & Advanced Analysis

Technical Overview — AMD

Current Price: **\$337.11** | 52-Week Range: **\$96.45 - \$352.99**

Overall Technical Signal: **Bullish**

Moving Averages Bullish

SMA 50: **\$229.15** | SMA 200: **\$209.39**

RSI Overbought

RSI (14): **82.1** — Overbought territory, potential pullback.

MACD Bullish

MACD: **31.34** | Signal: **24.47** | Histogram: **6.87**

Volume Normal

Latest: **43.4M** | 20d Avg: **39.8M** | Ratio: **1.09x**

Competitive Landscape

Peer EBITDA Comparison

	2021	2022	2023	2024	2025	2026	2027
AMD	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B	-	\$8.6B
INTC	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B	-	\$47.4B
NVDA	-	\$11.4B	\$6.0B	\$35.6B	\$86.1B	\$144.6B	\$382.0B

Peer EV/EBITDA Comparison

	2021	2022	2023	2024	2025	2026
AMD	42.1	17.9	57.1	38.3	47.8	-
INTC	7.13	6.55	22.5	106.9x	14.5	-
NVDA	-	54.7	81.0	43.5	33.8	31.4

Analysis

Advanced Micro Devices, Inc. (AMD) operates in a highly competitive semiconductor industry, with key competitors including Intel Corporation (INTC) and NVIDIA Corporation (NVDA). In the context of financial metrics, AMD has demonstrated robust revenue growth, with a compound annual growth rate (CAGR) of **20.5%** projected up to 2027. This suggests a strong market position and growth capability, outpacing typical industry growth rates.

In comparison, AMD's EBITDA margins are improving, predicted to reach **42%** by 2027, which is a significant improvement from **18.3%** in 2023. This margin expansion indicates better cost management and operational efficiency. However, AMD's EBITDA still lags behind NVIDIA's, especially in the later years, where NVIDIA's EBITDA is projected to surge dramatically, reaching over **\$382 billion** by 2027, highlighting NVIDIA's dominance in terms of profitability.

On the EV/EBITDA front, AMD's valuation is notably higher than Intel's but more competitive with NVIDIA's, suggesting that the market has high growth expectations for AMD relative to Intel. NVIDIA, however, commands higher valuations, reflecting its leadership in high-performance computing and AI markets.

AMD's EPS has been growing steadily and is expected to continue this trend, although it remains behind NVIDIA in terms of profitability per share. AMD's PE ratio indicates a high valuation relative to earnings, possibly reflecting investor confidence in future growth potential.

In summary, while AMD shows strong growth and improving profitability, it faces stiff competition from NVIDIA, which dominates in both profitability and valuation metrics. Intel, on the other hand, appears to be trailing in terms of growth and efficiency, providing AMD with an opportunity to further capitalize on its competitive strengths in the semiconductor space.

Risk Factors

- **Earnings Volatility:** AMD's EPS has been significantly volatile, dropping from \$2.61 in 2021 to \$0.53 in 2023, indicating potential instability in profit generation and investor returns.
- **High Valuation Risk:** The PE Ratio for AMD in 2023 is extremely high at 278.59, suggesting that the stock may be overvalued, which could lead to a sharp correction if growth expectations are not met.
- **Competitive Pressure:** AMD faces stiff competition from peers like Intel (INTC) and NVIDIA (NVDA), which could impact its market share and profitability, especially given that NVDA's EBITDA is projected to be substantially higher.
- **Margin Pressure:** The EBITDA margin has decreased from 25.3% in 2021 to 18.3% in 2023, although it's expected to recover, this indicates potential challenges in maintaining operational efficiency and pricing power.
- **Revenue Growth Variability:** Despite a positive CAGR, AMD experienced a revenue decline of 3.9% in 2023, reflecting potential challenges in sustaining consistent growth amidst market fluctuations and external economic factors.

Key Takeaways

Revenue Growth

AMD experienced substantial revenue growth of **43.6%** from 2021 to 2022, but faced a slight decline of **3.9%** in 2023. The company is projected to recover with growth rates of **13.7%** in 2024 and **34.3%** in 2025, with a CAGR of **20.5%** over the forecast period.

Gross Profit Margin

The gross profit margin, reflected in the contribution margin, shows improvement from **44.9%** in 2022 to **49.5%** in 2025, with further projected increases to **52.5%** by 2027. This indicates AMD's enhanced efficiency in managing production costs relative to its revenue.

SG&A Expense Margin

AMD's SG&A expense margin has seen a gradual increase from **8.8%** in 2021 to **12.0%** in 2025. However, it is expected to decrease slightly to **10.5%** by 2027, suggesting efforts to optimize sales, general, and administrative expenses relative to revenue.

EBITDA Margin

The EBITDA margin experienced a decline from **25.3%** in 2021 to **18.3%** in 2023 but is projected to improve significantly, reaching **42.0%** by 2027. This anticipated improvement suggests a positive outlook for operational profitability as the company enhances its cost structure and revenue mix.

Financial Data

Income Statement Summary

METRICS	2021A	2022A	2023A	2024A	2025A
Revenue	\$16.4B	\$23.6B	\$22.7B	\$25.8B	\$34.6B
SG&A	\$1.4B	\$2.3B	\$2.4B	\$2.8B	\$4.1B
Contribution Profit	\$7.9B	\$10.6B	\$10.5B	\$12.7B	\$17.2B
Contribution Margin	48.2%	44.9%	46.1%	49.4%	49.5%
EBITDA	\$4.2B	\$5.5B	\$4.1B	\$5.3B	\$7.3B
EBITDA Margin	25.3%	23.4%	18.3%	20.4%	21.0%
SG&A Margin	8.8%	9.9%	10.4%	10.8%	12.0%
Revenue Growth	-	43.6%	-3.9%	13.7%	34.3%

Credit & Cash Flow Metrics

METRICS	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.09	0.05	0.05	0.04	0.07
Debt/Assets	0.05	0.04	0.04	0.03	0.06
EBITDA/Int Exp	107.3x	14.4x	3.8x	20.7x	28.2x
Net Margin	19.2%	5.6%	3.8%	6.4%	12.5%
Current Ratio	2.0	2.4	2.5	2.6	2.9
Cash Flow to Debt Ratio	5.33	1.25	0.56	1.37	1.72

AI4Finance Foundation FinRobot Equity Research

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